TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

# Stakeholders and ethics



1 Understanding business activity
**1.5 Business objectives and stakeholder objectives; 6.4 Business and ethical issues (0450: 6.2)**

A revision lesson. Pupils run a car dealership in firms of four and revise stakeholders and ethics on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same.

## 1 Closing a branch

Round 1

You close a loss-making branch. Its 10 staff lose their jobs.

**Who gains and who loses?**

- **A** Suppliers gain, staff lose
- **B** Staff gain, owners lose
- **C** Owners gain, staff lose
- **D** Customers gain, owners lose

**ANSWER**

**✓ Owners gain, staff lose**

**Why:** Cutting a loss raises owners' profit, but the staff lose their income.

## 2 Who would object

Round 1

You plan to build a bigger showroom on part of a local park.

**Which two groups are most likely to object?**

- **A** Your shareholders
- **B** Your sales staff
- **C** Local residents
- **D** Your car suppliers
- **E** A local environmental group

**ANSWER**

**✓ Local residents**
**✓ A local environmental group**

**Why:** Residents and pressure groups lose the park; the firm's own groups gain.

## 3 Rank fair wage cost

Round 2

Three branches move staff to a fairer wage.

**Order by extra cost a week, lowest first?**

- **A** 6 staff, £80 more each
- **B** 15 staff, £20 more each
- **C** 10 staff, £40 more each

**ANSWER**

**1. 15 staff, £20 more each**
**2. 10 staff, £40 more each**
**3. 6 staff, £80 more each**

**Why:** £300, £400 and £480 a week: the most staff is the lowest cost.

# Topic tasks

## 4 Fair pay cost

Round 2

You raise pay above what rivals pay.

**Extra wage cost a year? 52 weeks.**

| | |
|---|---|
| Staff | **12 staff** |
| Pay now, each, a week | **£470** |
| Rise, each, a week | **£35** |

**ANSWER**

**£21,840**

12 × £35 × 52 = £21,840

**Why:** Fair pay costs more, but staff are more likely to stay.

## 5 Green or cheaper

Round 3

A green valeting firm costs £300 more a month. Most buyers say the planet matters to them.

**Which firm should you use, and why?**

**A** Your current, cheaper firm

**B** The green valeting firm

**ANSWER**

**✓ The green valeting firm**

**Why:** Your buyers value it, so the green choice can win sales and goodwill worth more than £300.

## 6 Above-minimum pay

Round 3

You pay staff well above the legal minimum wage, though rivals do not.

**Which pair of effects is most likely?**

**A** Higher wage costs, lower turnover

**B** Lower wage costs, lower turnover

**C** Higher wage costs, higher turnover

**D** Lower wage costs, higher turnover

**ANSWER**

**✓ Higher wage costs, lower turnover**

**Why:** Fair pay costs more, but staff are more likely to stay.

# Final questions

Each pupil answers 6 final questions on stakeholders and ethics. They come from these 13 questions.

1 What would make vehicle sourcing more ethical?
✔ **Checking suppliers' labour and environmental practices**

2 Customers increasingly ask how a dealership reduces waste and emissions. This is best described as what influence?
✔ **An environmental influence on business decisions**

3 Residents object to delivery lorries arriving before 6 a.m. Which stakeholder response is most appropriate to consider?
✔ **Discussing quieter delivery times with them**

4 A repair chain claims to use responsibly recycled parts. What action best supports the claim?
✔ **Check suppliers' evidence that the claim is true**

5 A campaign group criticises the dealership's disposal of tyres. What is the strongest response?
✔ **Check its records, fix problems, share evidence**

6 Longer opening hours would bring more sales but late noise for residents. What is the best approach?
✔ **Weigh sales against residents' impact and consult**

7 A cheap supplier cannot show how hazardous waste is handled. What should the CEO consider?
✔ **The legal and reputation risks, not just price**

8 A stakeholder is anyone affected by a business decision. A dealer plans Sunday opening. One side, named for you: customers gain, visiting on a day off. Name the other side.
✔ **Staff lose: they must work a day that was theirs**

9 Before deciding to close the Saturday desk, the CEO lists who is affected: Saturday technicians, Saturday customers and the landlord whose lease sets opening hours. What is this list?
✔ **The stakeholders in the decision**

10 Which group is an internal stakeholder of a car dealership?
✔ **Its employees**

# Final questions

**11** A dealer plans to keep its workshop open until 10pm. Which stakeholder group is most likely to object?

✔ **Local residents, because of noise late at night**

**12** A dealer cuts its staff's pay to raise profit. Which two stakeholder groups now have competing interests?

✔ **Owners and employees**

**13** What do a dealer's customers mainly want from it as stakeholders?

✔ **Good-quality cars at fair prices**